CORPORATE FINANCE (BAC4301)

INDIVIDUAL ASSIGNMENT

Issued:27 FEBRUARY 2026

General Instructions

1. Use Times New Roman, font size 12.
2. Apply 1.5-line spacing throughout the document.
3. Ensure that paragraphs are fully justified (aligned both left and right).
4. The assignment must be between 1,500 words and maximum 3,500 words.
5. Use the APA system of referencing system.
6. A minimum of five (5) academic sources must be cited.
7. *The assignment should be logically structured.*
8. Indicate your **student number only on submission** (do not include your name)**.**
9. Strict adherence to the submission deadline is required. **Late submissions shall not be marked.**

Important Notes:

- **Submissions via e-mail will NOT be accepted.**
- **Any submission with similarity above 30% will receive zero marks.**
- **Marks will be awarded for:**
    a. **Quality and depth of analysis**
    b. **Application of corporate finance principles**
    c. **Structural and logical flow**
    d. **Grammar, language use, proper referencing, formatting and presentation.**
    e. **grammar, and format of the work.**
- **DUE DATE TUESDAY 27TH MARCH 2026**

MINI CASE STUDY

BM Co is a cooperative operating in Zambia. The members are considering applying for financing under the Constituent Development Fund Act (CDF Act 2024) in order to expand operations and support a new investment initiative. The CDF loan facility is perceived to offer lower financing costs, and management is optimistic about its potential impact on project viability. The cooperative is evaluating a five-year project with the following financial information:

i. Initial capital investment of K400,000.

ii. Estimate scrap value is expected to be 15% of the initial cost.

iii. Working capital per year will be equivalent to 7.5% of the initial cost throughout the project's life. This will be recovered at the end of five years.

iv. Depreciation allowance will be on a straight-line basis down to the scrap value.

v. The after-tax cost of capital for investment appraisal purposes is 8% while corporate tax for these types of firms is 20% per year payable in the same year as profits. Re-investment rate for BM co is at 10% per year.

vi. Projected operating cash flows are given in a table below:

Year	**1**	**2**	**3**	**4**	**5**
	K	**K**	**K**	**K**	**K**
Cash inflows	**265,000**	**180,000**	**175,000**	**230,000**	**190,000**
Cash outflows	**(100,000)**	**(200,000)**	**(90,000)**	**(70,000)**	**(65,000)**

REQUIRED:

With reference to the above scenario.

a) Discuss the provisions of the constituency Development Fund Act that relates to principles of corporate finance.

b) **Incorporating principles of corporate finance, critically analyse the role that finance Professionals play in ensuring the effective, implementation, management, accountability, and sustainability of the constituency development fund in Zambia.**

c) **Calculate the Internal Rate of Return (IRR) of the project and comment on your results.**

d) **Present the IRR using an appropriately labeled graph.**

e) **Determine the Modified Internal Rate of Return (MIRR) of the project and briefly discuss the merits of MIRR over IRR.**

END OF QUESTION PAPER